

SME Lending & Transaction Data Moats

Case study



Thank you for your interest in joining our CFOO team. The ideal candidate would have a strong foundation in strategic thinking, business research, and financial analysis, with the ability to synthesize complex information into clear, decision-ready outputs.

Please complete a write-up on **one** of the following topics of your choice:

(i) How digital platforms use transaction data as a competitive moat in SME lending

(ii) Competitive advantages of a super-app integrating AI in retaining users and monetizing through AI features (e.g. Kakao, Line, or WeChat)

Your analysis should be presented in PowerPoint format, comprising 5 to 8 slides. The goal is to demonstrate your ability to independently research an unfamiliar topic, identify what drives sustainable competitive advantage, and communicate your findings in a structured and compelling way.

Suggested areas to cover (not exhaustive):

- Industry and market context: size, key players, and structural dynamics relevant to your chosen topic
- Core competitive advantages of the company or platform you have selected as your case study
- Supporting evidence: market position, data assets, product features, partnerships, or financial performance
- Key risks or challenges to those advantages
- Your overall assessment is the competitive position sustainable, and what are the strategic implications for other players in the region

The Problem

Traditional Banking Fails SMEs

These businesses are often **"too big for microfinance but too small for corporate banking"**, creating a **'missing middle'** that stifles regional growth.

Information asymmetry

- SMEs usually have **no formal financial reports, public credit histories.**
→ **Impact:** Banks won't know whether you are **high-quality / low-quality borrowers.**

Lack of acceptable collaterals

- Banks love physical, real assets **like real estate.**
- However, **75% of SME asset base is movable assets:** inventory, equipment, AR (Accounts Receivable).

Benefit vs. Cost barrier

- Procedures & paperwork are the same for banks, even more challenging due to information asymmetry. However, loans for SMEs **have low unit economic benefit (loan size is small compared to enterprises).**

51%

Global SMEs Lack Credit

41% | \$300B

Emerging markets: Unmet Financial Needs

Source: World Bank, 2022.

Competitive Advantage

Transaction Data as the Ultimate Moat

The approach using transactional data **tackles traditional bank problems with high-tech.**



REAL-TIME RISK PROFILING

Eliminates **information asymmetry** via:

- AI & alternative data (i.e. telco, digital behavior) (RFM analysis)
- Open Banking & APIs
- Cloud accounting

→ **Impact:** Generates a **dynamic, verified cash flow profile** that completely replaces the need for formal, stale financial reports.



CASH-FLOW COLLATERALIZATION

Rescues SMEs from **traditional collateral trap** via:

- Merchant Cash Advances (MCAs)
- Invoices & AR conversion

→ **Impact:** Secures financing against future revenue streams with **automated daily deductions**, requiring **zero physical collateral**.



ALGORITHMIC EFFICIENCY

Crushes the **high operational cost barriers** via:

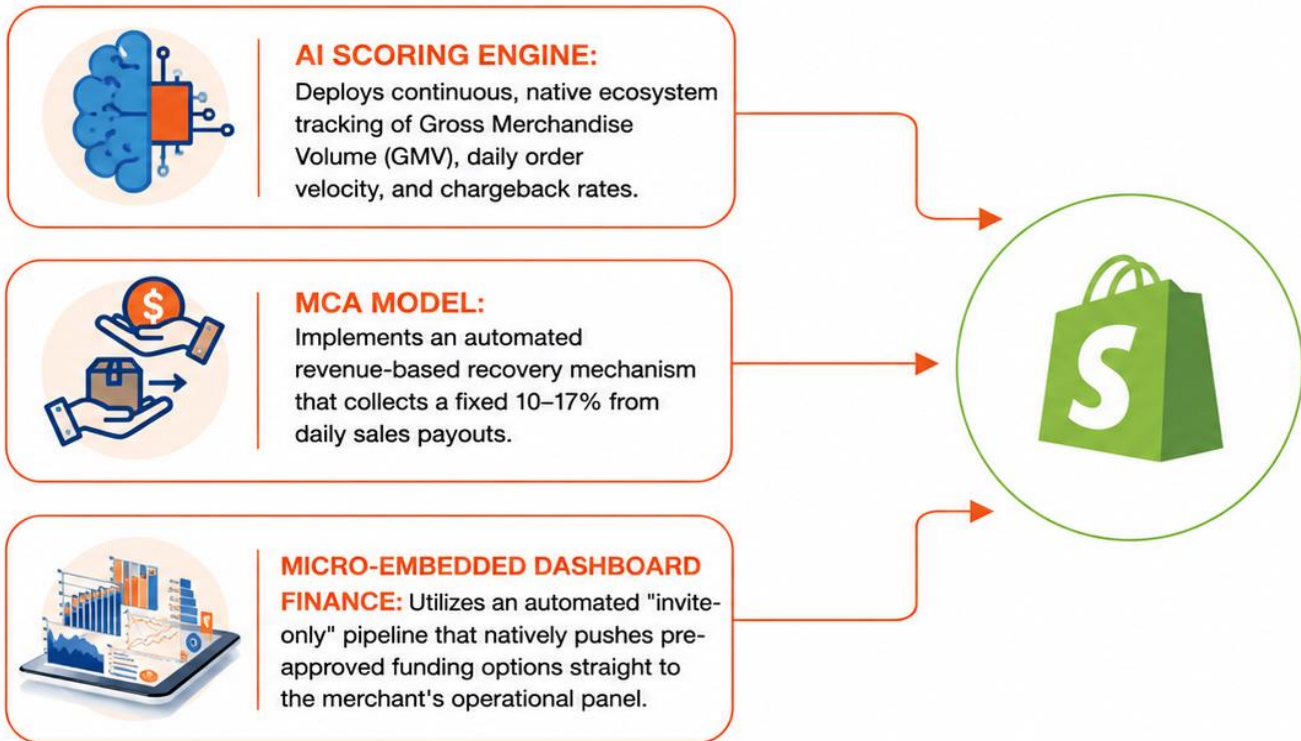
- Underwriting process digitization (document & risk analysis)
- Micro embedded finance in merchant dashboards

→ **Impact:** Slashes application processing costs from **\$2,500–\$4,000 down to \$300–\$700**, underwriting capital **within 1–3 business days**. [1]

Case Study – Industry Benchmark

Shopify Capital: The Embedded Credit Blueprint

Launched in 2016, Shopify Capital **has disbursed over \$5B** via embedded financing.



Case Study – Industry Benchmark

Shopify Capital vs. Traditional Banking

Shopify Capital's lending vertical is one of the **fastest growing** sub-sectors within the company's broader eco-system.

Shopify Capital Growth Accelerates

Strong Year-over-Year Growth Across Key Lending Metrics in Q1 2026



Faster Credit Access

- Shopify Capital: **40%** merchant conversion rate and deposits funds.
- Traditional banks: fully approve only **54%** of small businesses, rejecting modern digital-first SMEs.
- Shopify Capital executes credit funding in just 2 to 5 business days, which is **4 times faster** than traditional banks.

Zero Collateral Requirement

Without rigid monthly payments like banks, Shopify Capital demands secures capital against future revenue streams as flexible **10% to 17%** daily remittance that automatically drops to **\$0** on zero-sale days to protect merchant cash flow.

Short-term Financial Leverage

Shopify's frictionless injection **drives a 36% larger sales** surge within the **first 6 months post-funding** compared to non-funded peers, making it the superior short-term velocity tool before a business matures into traditional banking.

SEA Industry Players

Rising, But No One Has Closed the Loop

SEA platforms hold real transaction data assets, **but none has yet closed the full Shopify loop**: merchant-native data embedded into daily credit decisioning.

SeaMoney

Sea Limited · Indonesia, Thailand, Vietnam

KEY STATS

\$9.9B

Loans Outstanding (Q1 2026)

38M active credit users · NPL 1.1% · +71.3% YoY

DATA MOAT

Shopee e-commerce GMV + SPayLater daily payment flows → largest proprietary SME credit dataset in SEA

! GAP vs. SHOPIFY MODEL

Off-Shopee >20% of SPayLater loans in TH & ID exposes platform concentration ceiling — real-world evidence of multi-homing risk

Grab Financial

Grab Holdings · Singapore, Malaysia + 6 SEA markets

KEY STATS

GxS Bank JV

Digital bank JV — Singapore & Malaysia

GrabPay + ride-hailing data · 8 SEA markets · Lending & insurance

DATA MOAT

Mobility + payments data + GxS banking infrastructure → positioned for cross-border SME financial services

! GAP vs. SHOPIFY MODEL

Mobility data is not merchant commerce data — lacks the daily inventory & revenue signal that anchors Shopify's credit model

Kredivo

Kredivo Holdings (formerly FinAccel) · Indonesia, Vietnam

KEY STATS

\$270M

Series D led by Mizuho Bank (~\$400M total equity)

Krom neobank (ID) · Mastercard virtual card · BNPL + credit

DATA MOAT

Credit bureau + behavioral scoring + institutional capital validation → strongest credit model sophistication in region

! GAP vs. SHOPIFY MODEL

No platform-native merchant transaction data — competes on model depth, not data moat; dependent on third-party credit signals

The 'Shopify Capital moment' in SEA belongs to whoever simultaneously combines **merchant payment data + social/behavioral data + licensed credit infrastructure**. *None of the above has all three — yet.*

Risk Assessment

Structural Vulnerabilities

Three fault lines threaten the platform lending model — each with **distinct probability and severity profiles**.

LIKELIHOOD	IMPACT		
	LOW	MEDIUM	HIGH
			 Loan stacking, debt spiral  Exorbitant APR
		 Revenue Volatility → stretch out debt collection time  Data privacy	 Regulatory uncertainties
		 AI bias	 High funding cost & capital market reliance

Regulatory Friction

Vietnam's Decree 13/2023/ND-CP (PDPD) restricts unrestricted alternative data processing. Consent frameworks must be embedded into product flows before regulators act.

Platform Multi-Homing

Merchants operating across Shopee, TikTok Shop, and offline channels fracture data visibility, **degrading the accuracy of platform-specific credit models**. (Ex: SeaMoney's >20% off-Shopee originations).

Macroeconomic Shocks

Algorithmic models are calibrated on standard default cycles. Black-swan consumer spending collapses remain largely untested stress scenarios.

Strategic Recommendation

ZaloPay as Embedded Credit Hub

Payment gateways are commoditizing. VNG must monetize proprietary **social graph** and **transaction data** through embedded finance to solve the "missing middle" credit gap before the competitive window closes.



Step 1 — Consent

Deploy Zalo mini-apps to acquire structured merchant consent under the **PDPD framework** (Decree 13). Ensures a legally compliant credit pipeline from day one.



Step 2 — Underwriting

Merge Zalo OA engagement with ZaloPay P2M velocity.

- **77.8M MAU (85% Usage)**
 - **+ 52,000 Merchants**
- Creates a predictive AI credit moat no regional bank can replicate.



Step 3 — Execution

Partner with licensed banks via **Circular No. 06/2023** frameworks to fund MCA products across **81,000 acceptance points**, minimizing VNG's balance-sheet risk.

- ✔ **VNG's unique edge: No other regional lender holds **Social Graph** (Zalo) and **Payment Flow** (ZaloPay) for the same merchant—making the combined credit signal **structurally superior**.**